



PRESS RELEASE

California ringleader charged in multi-layered fraud scheme

Wednesday, March 23, 2022

For Immediate Release

U.S. Attorney's Office, Southern District
of Texas

HOUSTON – A ringleader and his brother-in-law have been indicted for their participation in a multi-state scheme involving mortgage fraud, credit repair and government loan fraud, announced U.S. Attorney Jennifer B. Lowery.

Steven Tetsuya Morizono, 59, Mission Viejo, California, and Albert Lugene Lim, 53, Laguna Niguel, California, set for an arraignment before U.S. Magistrate Judge Sam S. Sheldon today at 2 p.m.

Two others - Heather Ann Campos, 43, and David Lewis Best Jr., 58, both of Houston - are fugitives with warrants remain outstanding for their arrest. Anyone with information about their whereabouts is asked to contact the U.S. Postal Inspection Service at 281-512-8525.

The indictment remains sealed to others charged but not as yet in custody.

The 33-count indictment, returned March 16, alleges Morizono and Lim led the conspiracy. Using the alias Jeff, Morizono was the leader and namesake for the scheme purporting to do business as Jeff Funding, according to the charges. In reality, Jeff funding allegedly operated a multi-layered scheme to defraud mortgage lending businesses, banks, Small Business Administration (SBA) and Federal Trade Commission (FTC).

The indictment alleges co-conspirators recruited clients for credit repair using company names of KMD Credit, KMD Capital and Jeff Funding, among others. They allegedly “cleaned” their clients’ credit histories by filing false identity theft reports with the FTC. After fraudulently inflating client credit worthiness, the co-conspirators fraudulently obtain credit cards, disaster loans and mortgages for themselves and their clients, according to the charges. They were allegedly able to accomplish this through false statements and fake documents.

Morizono and his crew maintained control of the properties purchased in their clients’ names, according to the charges. The purpose, the indictment alleges, was for the purpose of building a real estate portfolio worth millions of dollars and enriching themselves with rental income.

If convicted, Morizono and Lim face up to 30 years in federal prison and a possible \$1 million maximum fine.

The Federal Housing Finance Agency – Office of Inspector General (OIG), U.S. Postal Inspection Service, Housing and Urban Development –OIG and SBA –OIG conducted the investigation with the assistance of the FTC –OIG and IRS –Criminal Investigation. Assistant U.S. Attorneys Kate Suh and Jay Hileman are prosecuting the case.

An indictment is a formal accusation of criminal conduct, not evidence. A defendant is presumed innocent unless convicted through due process of law.

Updated March 23, 2022

Topic

MORTGAGE FRAUD

Component

[USAO -Texas, Southern](#)

Related Content

PRESS RELEASE

Former NASA employee and husband charged in mortgage fraud scheme

A Missouri City couple has been indicted for orchestrating a fraudulent financing and refinancing mortgage loan scheme

December 27, 2023

PRESS RELEASE

Justice Department and Consumer Financial Protection Bureau sue Texas-based developer and lender Colony Ridge for bait-and-switch land sales and predatory financing

The Justice Department and Consumer Financial Protection Bureau (CFPB) have sued Colony Ridge for operating an illegal land sales scheme and targeting tens of thousands of Hispanic borrowers with false...

December 20, 2023

PRESS RELEASE

Laredo salesman sent to prison for fraud conspiracy costing HUD \$1M in losses

A 38-year-old man was sentenced for his role in a complex mortgage fraud scheme

November 28, 2023



Southern District of Texas

1000 Louisiana, Ste. 2300

Houston, TX 77002

Email USAO-SDTX



Houston: 713-567-9000

Fax Line: 713-718-3300